Transport

Research Office
Legislative Council Secretariat

Statistical Highlights

ISSH03/2025

Taxi services in Hong Kong

Figure 1 – Average daily patronage of taxis and share in public transport patronage

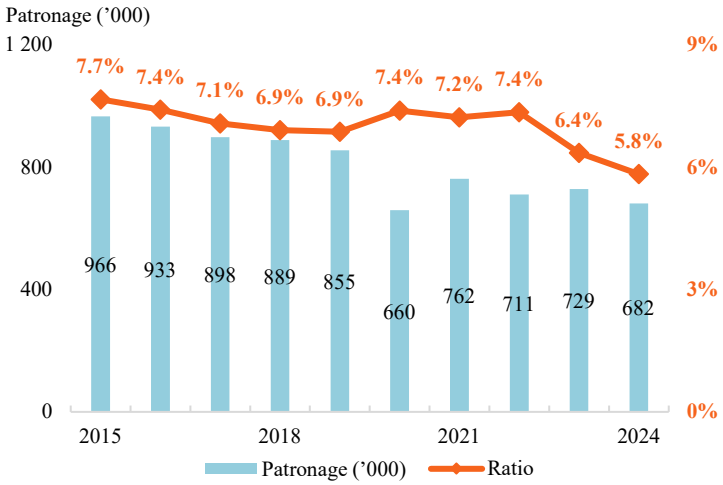
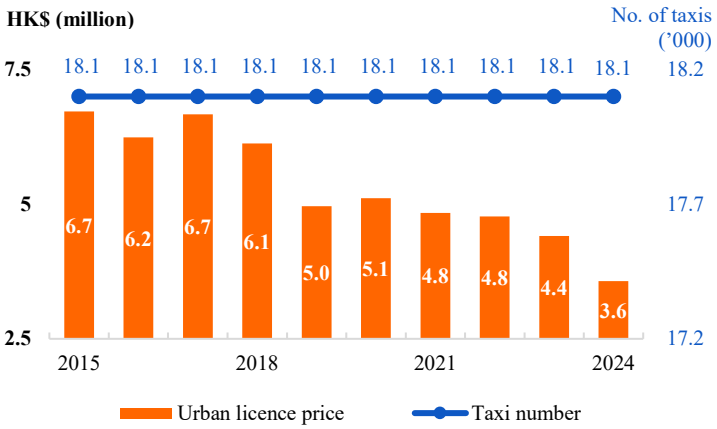
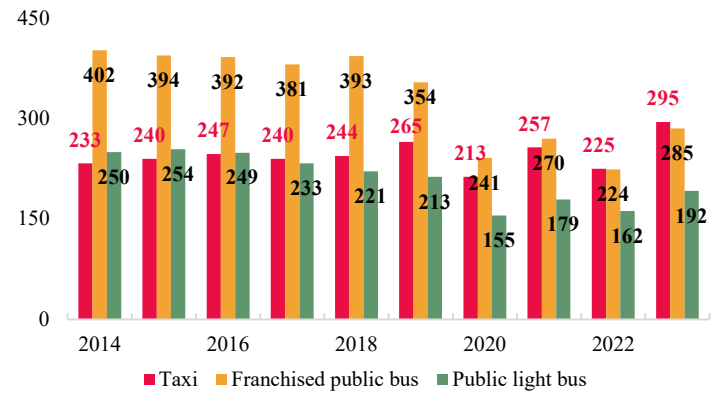


Figure 2 – Number of registered taxis and market value of urban taxi licences(1)



Note: (1) Licence price refers to the market value on 1 January in each year.

Figure 3 – Accident rate of major public transport(1)



Note: (1) Accident rate per 1 000 licenced vehicles.

Highlights

- Local taxi services have witnessed a visible downtrend over the past decade, with their daily patronage plummeting by 29.4% to 682 000 in 2024 (**Figure 1**). Likewise, the share of taxis in overall public transport patronage declined from 7.7% to 5.8% over the same period. While this could be in part attributable to further extension of the railway networks, there were allegations of unsatisfactory quality of taxi services (e.g. over-charging, hire refusal, customer selection and intentionally taking a longer route). Moreover, local taxis are also facing intensified competition from other modes of personalized point-to-point ("P2P") services (e.g. ride-hailing platforms and private hire services).

- Over the past decade, the fleet of taxis has held broadly stable at around 18 100, with an average age of eight years. Over 99% of local taxis are driven by petrol/liquefied petroleum gas ("LPG"), with just 139 registered electric taxis despite the launch of a loan guarantee scheme by the Government to encourage conversion into electric taxis in September 2023. In December 2024, the Government rolled out a subsidy scheme to expedite the process. As regards the market value of local urban taxi licence, it plunged by 46% in 10 years to HK$3.6 million by early 2024, dampened by (a) falling patronage; (b) increased competition in the P2P market; and (c) correction in the local asset markets in recent years (**Figure 2**). In late February 2025, this licence value went down to below HK$2.9 million.

- The public has been increasingly concerned about the safety of taxis in recent years, as the involvement rate of taxis in traffic accidents was 295 per 1 000 vehicles in 2023, considerably higher than that of 285 for franchised public buses and 192 for public light buses (**Figure 3**). Conceivably, this is related to their long operation hours each day and old age of taxi drivers, as the average age of taxi drivers was 59 in 2022. In December 2024, the Government proposed the installation of "the camera system" (e.g. in-vehicle cameras) in all taxi compartments to address safety concerns and restore public trust in taxi services.

Figure 4 – Complaints against taxi services

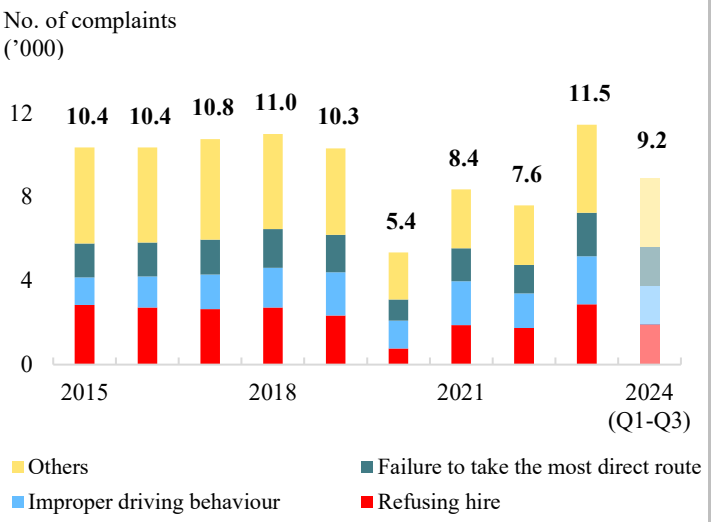


Figure 5 – Insurance gross premiums per taxi

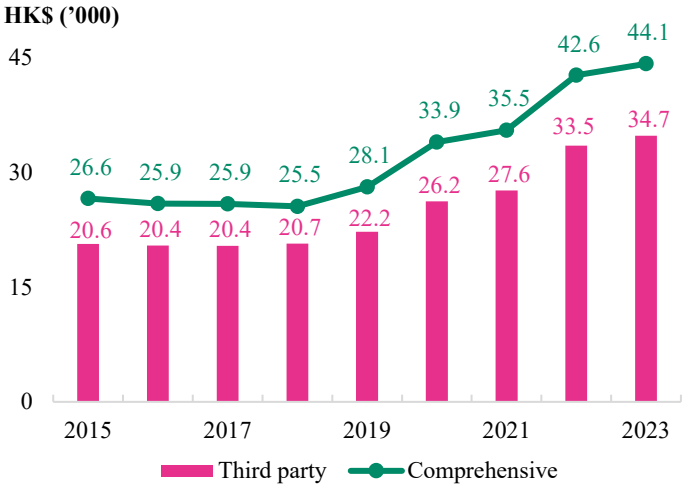


Figure 6 – Ride-hailing platforms in Hong Kong[(1)]

Ride-hailing platforms	Launch year	Headquarters base	Reported number of drivers
Uber	2014	United States	200 000
Didi	2018	Mainland	42 000
Tada	2024	Singapore	4 000
Amap	2024	Mainland	data unavailable

Note: (1) All the platforms listed are also collaborating with the taxi business to provide taxi services.

Highlights

- In 2023, there were altogether 11 452 complaints against taxis, representing a 51% surge over a year earlier (**Figure 4**). "Refusing hire" was the most common type of complaints (25.1%), followed by "improper driving behaviour" (20%) and "failure to take the most direct route" (18.2%). However, only 24.9% of the complaints related to driver malpractice were referred to the Police for further investigation. During the year, only 3.4% of the investigated cases were summonsed due largely to insufficient evidence. Under the Taxi-Driver-Offence Points system effective from 22 September 2024, taxi drivers convicted or fined will incur offence points, with the highest penalty being disqualified from driving a taxi for six months. As at 16 November 2024, 15 drivers have reportedly been penalized under the system for bad practices.

- In the face of a higher accident involvement rate, comprehensive insurance premiums per insured taxi surged by 57% in five years to HK$44,145 in 2023, and so did the third-party insurance premiums by 56% to HK$34,743 (**Figure 5**).

- Since 2014, several ride-hailing platforms have set up business in Hong Kong, with reported numbers of drivers ranging from 4 000 to 200 000 (**Figure 6**). However, given that up to 1 500 private vehicles are so far authorized by the Transport Department to carry passengers for hire or reward, there are allegations that a majority of passenger services offered by ride-hailing platforms are illegal under the existing laws. During 2015-2023, there were over 500 enforcement actions taken by the Police against such illegal carriage of passengers.

- In December 2023, the Government raised the penalty (e.g. raising the fine to HK$25,000) for illegal passenger services. In July 2024, it announced a plan to regulate online ride-hailing platforms, with a legislative proposal expected to be introduced in 2025. In February 2025, while the local taxi trade expressed dissatisfaction over slow regulatory developments, the Government has pledged to step up enforcement efforts against illegal carriage services.

Sources: HKTEx, Insurance Authority, Transport Advisory Committee, Transport Department, and Uber.

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27 February 2025
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